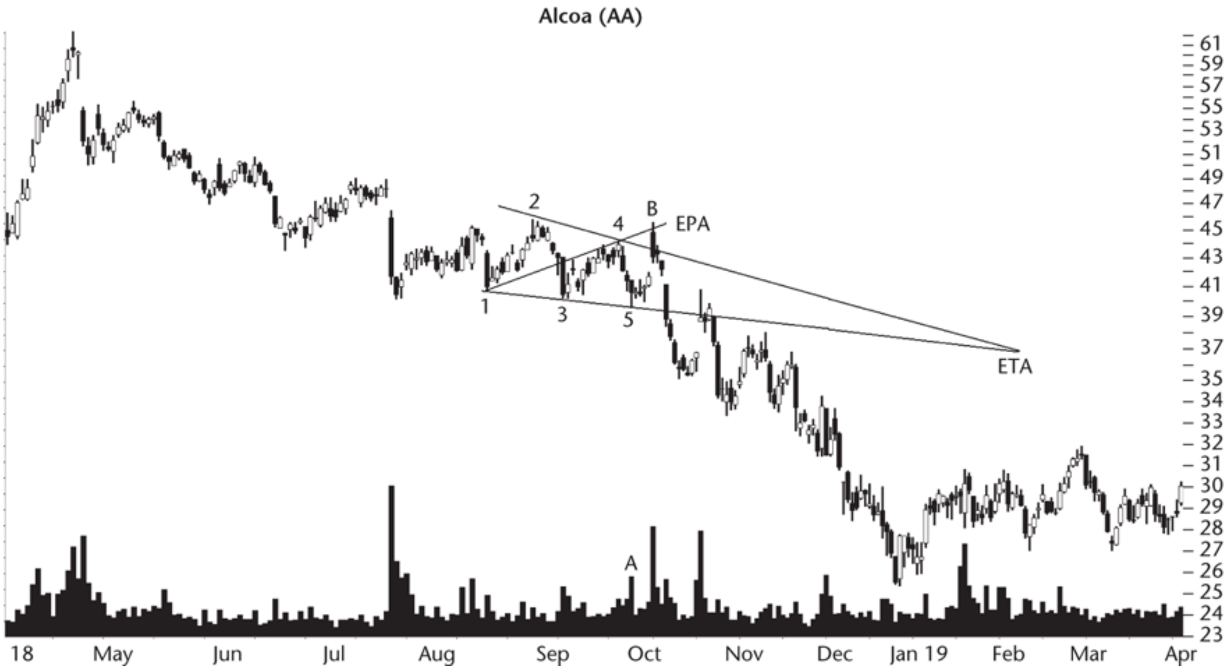

Figure 76.1 This bullish Wolfe wave meets its price target quickly.

In this example, however, price reaches the EPA at B well short of the wedge's apex (ETA).

Volume at turn 5 is heavy at A (volume scale). On either side of A, volume diminishes, which is what you want to see according to Wolfe. In short, a Wolfe wave is a falling wedge with five turns but adds the EPA line (1–4).

In this example, price breaks out upward at B and then dies. The pattern busts the upward breakout when price collapses and heads well below the bottom of the wedge. In the traditional sense, this example is bullish because of the upward breakout, but not so you'd stand up and cheer.

Let's discuss the guidelines for finding bullish Wolfe waves.

Identification Guidelines

Table 76.1 lists identification guidelines. Consult **Figure 76.2** for additional guidance as we go through the rules. I programmed my computer using the guidelines listed in Table 76.1 to find these patterns automatically.

Points 1, 2. Wolfe says to find point 2 first. It's any minor high on the chart. From there, look back and find the prior valley where price bottoms. That's point 1. However, in his documentation, he calls point 1 a “bottom,” and yet